Fairphone: 5,000 Phones by 15 June

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MODULE 04 · VALIDATING PROBLEMS · CASE, READ BEFORE CLASS

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On Monday 13 May 2013, Fairphone, a start-up of seven people in Amsterdam, adopted the terms and conditions of the online shop in which it planned to sell its first smartphone.[1] [2] The phone did not exist as a product yet. A factory in China had been chosen and had agreed to a model that let the sales start with only a small down payment, and the first production run was planned for that year.[2] [3] The terms set a "sales benchmark" of 5,000 phones "which must be sold before the 15th of June 2013". If the benchmark was missed, Fairphone had the right to terminate the contracts, and a buyer whose contract was terminated would get back the money already paid.[1]

The price had been set at around €325 since April, and Fairphone had promised the people on its newsletter list "the first opportunity, before anyone else, to buy".[4] On 10 May the list counted more than 14,000 subscribers.[2] The pre-sale itself had not opened.[5]

Bas van Abel, who had founded Fairphone, led the team.[2] [6] In front of it lay one question. Should Fairphone open its pre-sale on this benchmark, asking for €325 for a phone that would ship in the autumn, from people who so far had signed up for a newsletter, with the right to cancel every order if fewer than 5,000 phones were sold within about a month?

From a Campaign to a Company

Fairphone had started in 2010 as a campaign. It aimed, in van Abel's words of May 2013, at "creating more awareness around the abuses in the supply chain of electronics". The team then decided to make a phone of its own, to expose every step of production, with an emphasis on the mining situation in the Democratic Republic of the Congo.[6]

Until the company was set up, the project was funded mainly by Waag Society, an Amsterdam institute where it was embedded, with some support from the Dutch government and social funds such as Stichting DOEN. Van Abel recalled in May 2013 that operators had been willing to support the mission and the sales, and that "an increasing amount of people" had been asking when the phone would hit the market, so they could buy it. Because Fairphone was going to sell an actual product, the team set up a company, a social enterprise, with seed money from an investor it knew from the Waag incubator. "There is a difference between seed money to get you going and cash flow investments to do the sourcing. We denied cash flow investments," van Abel said.[6]

By 10 May 2013, according to the Dutch trade service Telecompaper, which summarised a report in the Financial Times, Fairphone had developed a concept smartphone with the support of the London incubator Bethnal Green Ventures and €400,000 from a private investor. The phone was a dual-SIM handset designed to be easy to repair and recycle, and it was to go into production that year in a first run of 20,000. It would be sold mainly through the website, but also through operators. Vodafone and

KPN supported Fairphone, and KPN would also offer the phone, Telecompaper wrote.[2] Fairphone's homepage listed Waag Society, Schrijf-Schrijf, ActionAid, Stichting Doen, Vodafone, Bethnal Green Ventures, KPN and others as supporters.[7]

A Factory in China

In March 2013 Fairphone was searching for a production partner and answering questions its community had sent "through e-mail, Facebook, and Twitter".[8] Production in Europe proved not feasible, and the team chose A'Hong, a manufacturer in China.[2] Miquel Ballester described the choice in a blog post that Fairphone's homepage linked to on 13 May. A'Hong offered a one-stop shop and a tested design, and, he wrote, "who would have guessed, they would agree to our crowdfunding model? Making it possible for us to start the sales with only a small down payment."[3]

The terms gave one reason for the benchmark of 5,000 phones, "In order to finance and continue the fair production of the Products".[1] Nothing published before the terms of 13 May says who at Fairphone set the number, how it was worked out or when it was first stated in public. The benchmark equalled a quarter of the planned first run of 20,000 phones (Exhibit 3).

Fourteen Thousand Sign-ups

The call to action on Fairphone's homepage read, on 13 May, "Get it? Join the group of [number] subscribers for the first FairPhone." A counter filled in the number.[7] The counter recorded the size of the newsletter list. It stood at 4,670 at the end of January 2013 and at 12,840 on 8 May (Exhibit 1).[9]

On 4 April Joe Mier, Fairphone's community manager, wrote that the list stood at 9,367 the evening before and 9,523 as he posted. "Sometimes when we get a sudden rise in subscribers it comes as a happy surprise," he wrote, "like this time when I only found out we were over 9,300 from a write-up in the Austrian Der Standard yesterday." He wanted everyone who wanted to buy a phone to register now, "or we can't guarantee one for you later", and asked them to share Fairphone's story on Twitter and Facebook. "To reach more subscribers, and ultimately buyers, we need our community's help in spreading the word."[4]

The same post promised the community of "almost TEN THOUSAND" the first opportunity to buy the phone.[4] On 29 April Mier wrote that Fairphone was "gearing up for our pre-orders period in May – with a huge blast of events and buzz in the media".[5]

What Fairphone did not publish was how many people visited the website, how many subscribers opened its emails, or how many had said they would buy at €325.

The Offer and the Benchmark

The terms adopted on 13 May laid down the benchmark and what followed from missing it (Exhibit 2). If 5,000 phones were not sold before 15 June, Fairphone had "the right to terminate the contract", and buyers whose contract was terminated were "entitled to a full refund of the money the Customer already has paid".[1] The terms also said that Fairphone would do its utmost to deliver within six months of ordering, and that all dates were "always indicative".[1]

The offer itself had been public since April. The 4 April post scheduled pre-sales for May and shipping for the autumn. The phone would be unlocked and sold "exclusively through our website", at a price "currently set around 325 euros".[4] Telecompaper gave the price as 325 euros on 10 May.[2] The shop had been built by then. Its product feed dates the phone "excl. charger" to 26 April and the

charger, sold separately, to 29 April.[10] The refund in the terms covered "the money the Customer already has paid", which assumes that buyers paid before the benchmark date.[1] What 5,000 phones meant in money, in production and in subscribers is set out in Exhibit 3.

Why Ask Buyers to Pay First

Van Abel explained in May 2013 that independence was what made Fairphone credible. Crowdfunding the investment needed to go into production fitted that, he said. "This way our buyers not only buy the phone, but actually make Fairphone possible."[11]

13 May 2013

The terms were adopted. More than 14,000 people had signed up to hear about the first Fairphone, and the pre-sale had not opened. Opening the pre-sale meant asking those subscribers first, and later anyone else, to pay €325 upfront for a phone they could not hold before the autumn. If fewer than 5,000 phones were sold before 15 June, Fairphone had the right to cancel the orders, and buyers would get back what they had paid.

Whether to open the pre-sale on this benchmark was the question in front of van Abel's team.

Exhibit 1: Fairphone Newsletter Subscribers, January to May 2013

Date	Subscribers	Source
26 January 2013	4,670	Newsletter counter on the homepage, archived
28 March 2013	8,902	Newsletter counter, archived
3 April 2013, evening	9,367	Fairphone blog, company figure
4 April 2013	9,523	Fairphone blog, company figure
8 May 2013	12,840	Newsletter counter, archived
10 May 2013	more than 14,000	Telecompaper, summarising the Financial Times

Source: compiled by the case writer from the archived newsletter counter, Joe Mier's blog post of 4 April 2013 and Telecompaper of 10 May 2013, see the notes. The counter shows the list size as the mailing service reported it, which may differ from the number of active subscribers.

Exhibit 2: The Sales Benchmark in the Shop’s Terms, Adopted 13 May 2013

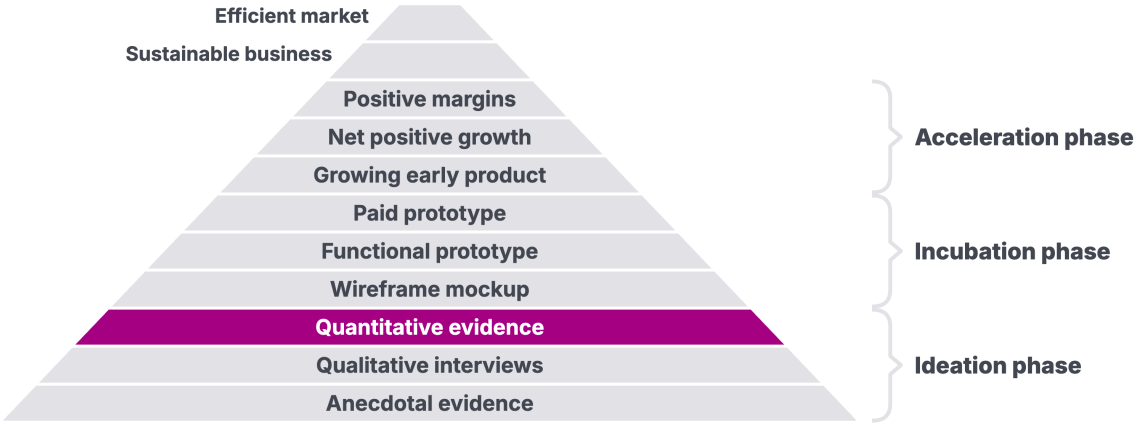
> **4.3** In order to finance and continue the fair production of the Products, Fairphone has a sales benchmark of 5,000 (five thousand) mobile phones, which must be sold before the 15th of June 2013. If the sales benchmark number of 5,000 phones is not met at the 15th of June 2013 at the latest, Fairphone has the right to terminate the contract at first instance and without having to pay any damages or compensation, whatsoever.
>
> **4.4** In case of termination of the contract due to circumstances as stated in aforementioned article 4.3., the Customer will be entitled to a full refund of the money the Customer already has paid to Fairphone. To the refund payment no interest shall be due.

Source: Fairphone B.V., Customer Terms and Conditions, Fairphone Shop, articles 4.3 and 4.4, version adopted on 13 May 2013, see the notes.

Exhibit 3: The Offer and What the Benchmark Meant in Numbers

Item	Detail	Source and date
Price	“currently set around 325 euros”	Fairphone blog, 4 April 2013
Price at order	€325, plus €7 shipping, charger €7.50 extra	Notebookcheck, 15 May 2013[12]
Where it is sold	“exclusively through our website”, unlocked, in Europe	Fairphone blog, 4 April 2013. Notebookcheck, 15 May 2013
Payment	Full price at order, refund if the contract is terminated at a missed benchmark, no instalments	Terms, 13 May 2013. Shop FAQ, a later record captured 7 June 2013[13]
Pre-sale and delivery	Pre-sales in May, shipping in the autumn, delivery “indicative” within six months	Fairphone blog, 4 April 2013. Terms, 13 May 2013
The benchmark	5,000 phones sold before 15 June 2013	Terms, 13 May 2013
The benchmark in money	5,000 × €325 = €1,625,000	Case writer’s calculation
The benchmark in production	5,000 of a planned first run of 20,000, a quarter	Case writer’s calculation from Telecompaper, 10 May 2013
The benchmark in subscribers	5,000 ÷ 14,000 = 36%, 5,000 ÷ 12,840 = 39%	Case writer’s calculation

Source: compiled by the case writer from the sources in the table, see the notes. The subscriber share assumes that every order came from the newsletter list and that each buyer bought one phone. The sources do not say either.



The course's hierarchy of evidence

Third-party material

Quotations from Fairphone’s website and blog are Fairphone’s, licensed under CC BY-NC-SA 3.0 by article 7.3 of the shop terms, which covers www.fairphone.com. The shop’s terms, FAQ and product feed are quoted as evidence under the right to quote. Short quotations from the press are quoted with attribution. None of this material is covered by the course licence.

Endnotes

1. Fairphone B.V., “Customer Terms and Conditions”, Fairphone Shop, version adopted on 13 May 2013, articles 4.3, 4.4, 5.2 and 7.3, Internet Archive capture of 8 June 2013, https://web.archive.org/web/20130608015227id_/http://buy-a-phone-start-a-movement.fairphone.com:80/en/service/general-terms-conditions, accessed 2026-10-19.
2. “FairPhone werkt aan fair-trade smartphone”, Telecompaper, 10 May 2013, summarising a report in the Financial Times, https://www.telecompaper.com/news/fairphone-werkt-aan-fair-trade-smartphone--942774, accessed 2026-10-19. Translated from Dutch by the case writer. The report calls van Abel the founder (“oprichter”) and gives the team as seven people. It gives the price as 325 euros “voor belastingen” (before taxes), while Fairphone’s own figures give €325 as the price at order.
3. Miquel Ballester, “Our Choice for Production Partner”, Fairphone blog, May 2013, linked from the homepage on 13 May 2013, https://web.archive.org/web/20130607161548id_/http://www.fairphone.com/2013/05/17/our-choice-for-production-partner/, accessed 2026-10-19.
4. Joe Mier, “On the way to 10,000 Subscribers!”, Fairphone blog, 4 April 2013, https://web.archive.org/web/20130601192453id_/http://www.fairphone.com/2013/04/04/on-the-way-to-10000-subscribers/, accessed 2026-10-19.
5. Joe Mier, “Fairphone T-Shirt Design Challenge”, Fairphone blog, 29 April 2013, https://web.archive.org/web/20130611000411id_/http://www.fairphone.com/2013/04/29/fairphone-t-shirt-design-challenge/, accessed 2026-10-19.
6. Joe Mier with Bas van Abel, “Fairphone’s Crowdfunded Model & Social Impact”, Fairphone blog, May 2013, answer 1, https://web.archive.org/web/20130607161601id_/http://www.fairphone.com/2013/05/24/crowdfunded-model/, accessed 2026-10-19.
7. Fairphone, homepage www.fairphone.com, Internet Archive capture of 13 May 2013, 07:04 UTC, https://web.archive.org/web/20130513070447id_/http://www.fairphone.com/, accessed 2026-10-19. The number of subscribers was filled in by a script and is blank in the archived text.
8. Joe Mier with Sean Ansett, “Selecting a Production Partner”, Fairphone blog, 28 March 2013, https://web.archive.org/web/20130610091620id_/http://www.fairphone.com/2013/03/28/selecting-a-production-partner/, accessed 2026-10-19.
9. Newsletter subscriber counter embedded on fairphone.com, Internet Archive captures of 26 January, 28 March and 8 May 2013, https://web.archive.org/web/20130126060804id_/http://fairphone.us5.list-manage.com/subscriber-count?b=00&u=e4c9ce83-c668-4467-b3dd-6805f4a18d02&id=fc950fe855, https://web.archive.org/web/20130328121946id_/http://fairphone.us5.list-manage.com/subscriber-count?b=00&u=e4c9ce83-c668-4467-b3dd-6805f4a18d02&id=fc950fe855 and https://web.archive.org/web/20130508141717id_/http://fairphone.us5.list-manage.com/subscriber-count?b=00&u=e4c9ce83-c668-4467-b3dd-6805f4a18d02&id=fc950fe855, accessed 2026-10-19.
10. Fairphone Shop, product feed, Internet Archive capture of 9 June 2013, entries dated 26 and 29 April 2013, https://web.archive.org/web/20130609193458id_/http://buy-a-phone-start-a-movement.fairphone.com:80/en/index.rss, accessed 2026-10-19.
11. Mier with van Abel, “Fairphone’s Crowdfunded Model & Social Impact”, May 2013, answer 2.
12. Felix Sold, “Fairphone: Smartphone aus fair gehandelten Rohstoffen für 325 Euro”, Notebookcheck, 15 May 2013, https://www.notebookcheck.com/Fairphone-Smartphone-aus-fair-gehandelten-Rohstoffen-fuer-325-Euro.92333.0.html, accessed 2026-10-19. Translated from German by the case writer.
13. Fairphone Shop, FAQ, “Can I pay in installments?”, Internet Archive capture of 7 June 2013, a later record of the shop’s payment rule, https://web.archive.org/web/20130607161531id_/http://buy-a-phone-start-a-movement.fairphone.com:80/en/service/disclaimer/, accessed 2026-10-19.